

Amazon.com, Inc.

AMZN NASDAQ

Buy

\$268.76 ▲ 0.56%

12M Price Target
\$315.00

52-Week Range
\$196.00 – \$287.20

Market Cap
\$2.90T

AMZN: Consolidating Near Highs as AWS + Retail Both Firing

WHAT HAPPENED

- Stock is basically flat (+0.56%) after a two-day pullback from \$278 — this looks like normal profit-taking near the 52-week high, not a fundamental shift. Volume today is unusually light (4.2M vs the typical 30M+), which tells me it's a quiet summer trading day with most institutions on the sidelines, not real selling pressure.
- Bezos dumped \$346M in stock on Aug 3 — but before you panic, this is part of his pre-scheduled 10b5-1 plan (systematic selling he announces in advance). It's not a signal he thinks the stock is topy; it's diversification. Still, insider signal reads bearish on paper.

WHY IT MATTERS

Here's what I'm actually reading: options traders are leaning bullish (put/call at 0.67 means way more call buyers betting on upside than put buyers hedging downside), AND we're seeing huge unusual call buying at the \$205 strike — that's deep in-the-money, which usually means an institution is building a synthetic long position cheaply rather than a speculative bet. Translation: big money is quietly accumulating. The stock sitting at 80% of its 52-week range with tech sector up 2.9% over 5 days tells me AMZN is consolidating, not rolling over — it's digesting gains while the sector leads. The bigger picture: AWS is the pick-and-shovel play for the AI boom, and every enterprise AI dollar spent in the next 24 months has to touch a hyperscaler cloud.

POLICY & POLITICAL WATCH

Two things to watch: (1) The FTC's antitrust case against Amazon is still grinding through the courts — a Trump-era FTC is generally seen as less aggressive on Big Tech breakups than Khan's FTC was, which is a quiet tailwind that isn't priced in. (2) Federal AI procurement is accelerating — the government is signing multi-billion cloud contracts and AWS's GovCloud is the incumbent for classified workloads, so any expansion of federal AI spending flows disproportionately to Amazon. Tariff risk cuts the other way: continued China tariff escalation raises retail COGS (cost of goods sold — what Amazon pays for inventory) and could pressure the North America retail margin.

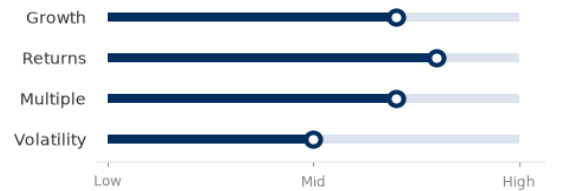
IS IT EXPENSIVE?

At ~\$269 and roughly 39x forward earnings, you're paying \$39 for every \$1 of next year's profit — that sounds expensive, but AWS alone is growing ~18-20% with 35%+ operating margins, and advertising (Amazon's hidden gem) is a \$60B+ business growing 20%+. Strip those out and the retail business is basically free at these prices. It's not a bargain, but it's fairly valued for a company with three double-digit growth engines and improving free cash flow.

Key Data

Price (USD)	\$268.76
12M Price Target	\$315.00
Upside / (Downside)	+17.2%
Market Cap	\$2.90T
FY2026E Revenue	\$460M
FY2027E Revenue	\$510M
FY2026E EPS	\$6.80
FY2027E EPS	\$8.20
Fwd P/E	39.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$285.00	\$275.00	\$258.00
6 Months	\$315.00	\$295.00	\$245.00
1 Year	\$345.00	\$315.00	\$230.00
2 Years	\$400.00	\$355.00	\$240.00
5 Years	\$550.00	\$450.00	\$280.00
10 Years	\$850.00	\$650.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.9% over 5 days) is leading — AI infrastructure spend and Fed rate-cut expectations are the fuel. Real Estate and Comm Services also perking up, suggesting rate-sensitive names are catching a bid.

COOLING OFF: Financials lagging (+0.5% over 5D) — a sign the market thinks rate cuts are coming, which pressures bank net interest margins.

ROTATION WATCH: Money is rotating INTO mega-cap tech as investors position for a September Fed cut. That's a direct tailwind for AMZN since lower rates boost the present value of its future cash flows.

RELATED PLAY: If you like AMZN's AWS story, the second-derivative plays are data center REITs (EQIX, DLR) and power infrastructure (VST, CEG) — Amazon's capex has to go somewhere, and it's flowing to power and colocation.

WHO'S WINNING IN THIS SPACE?

- **GOOGL (Alphabet):** Winning retail investor sentiment for next 12 months per today's Stocktwits data — Gemini's AI momentum is closing the gap with AWS/Azure.
- **META (Meta Platforms):** Wall Street's top upside pick — ad market strength and AI-driven ad targeting improvements are boosting analyst confidence.

AMZN CONTEXT: AMZN is holding its own but not leading the mega-cap pack — it's a coiled spring rather than a rocket. That's actually fine; it means expectations aren't stretched and there's room for upside surprise on the next AWS print.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Three growth engines, improving profitability, and a friendlier regulatory backdrop. Not pounding the table because valuation isn't cheap, but this is a core hold.

POSITION SIZE: 4-6% — big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: I'd add on any dip to \$260 and back up the truck under \$250. Chasing at \$278+ is where you get impatient and pay too much.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is Q3 earnings in late October — specifically AWS growth rate and 2027 capex guidance.

WHEN TO BAIL: AWS growth prints below 15% YoY two quarters in a row, or the FTC case suddenly gets teeth (unlikely under current admin, but watch it).

HEDGING: Buy a put option 10-15% below current price as insurance — think of it like collision coverage on your car. Costs a bit, but protects you from a nasty tech-wide selloff.